

Understanding Public Limited Companies (PLCs) in Kenya

A Practical Guide to Incorporation, Governance, Public Offers and Compliance

Prepared for the LexReg Portal

In Kenyan law, the correct term is a Public Limited Company (PLC), rather than a 'public liability company'. A PLC is a company whose articles permit members to transfer their shares, do not prohibit invitations to the public to subscribe for shares or debentures, and whose certificate of incorporation states that it is a public company.

A PLC is incorporated under the Companies Act, 2015 and is a legal person separate from its shareholders. Importantly, being a public company does not automatically mean that the company's securities are listed on a securities exchange. A public offer of securities and a securities-exchange listing introduce an additional capital-markets regulatory layer.

For LexReg, the PLC should therefore have a core Companies Act compliance framework, with a separate Capital Markets module activated only when the company makes a public offer, becomes listed, or otherwise enters a regulated securities-market activity.

1. What Is a Public Limited Company?

Subscribers / Shareholders
↓
Incorporation under Companies Act
↓
Public Limited Company (PLC)
↓
Separate Legal Personality
↓
Corporate + Regulatory Compliance

The company's name must end with 'Public Limited Company' or 'plc'. The company can continue despite changes in its shareholders, subject to the Companies Act and its constitution.

2. PLC vs Private Limited Company

- A private company restricts share transfers, limits membership to fifty and prohibits invitations to the public to subscribe for shares or debentures.
- A public company permits share transfers and its articles do not prohibit invitations to the public to subscribe for shares or debentures.
- A public company must have at least two directors; a private company requires at least one.
- Every public company must have at least one qualified company secretary.
- A PLC is subject to public-company capital rules and may not conduct business or exercise borrowing powers until the statutory trading-certificate requirements are met.

- A public offer or listing may bring the PLC within the Capital Markets Act and Capital Markets Authority (CMA) regulatory framework.

3. Shareholders / Members

Shareholders are the members of a PLC. Their liability in a company limited by shares is generally limited to the amount, if any, unpaid on their shares.

LexReg should capture:

- full legal name / corporate name;
- identity or incorporation details;
- KRA PIN and relevant tax information;
- address and contact details;
- share class;
- number of shares;
- nominal value and amount paid/unpaid;
- date of acquisition or allotment;
- transfers and disposals;
- voting/dividend rights; and
- beneficial ownership/control information where applicable.

The Register of Members should preserve both current holdings and historical movements.

4. Directors

A public company is required to have at least two directors, and at least one director must be a natural person.

LexReg should maintain a Director Register containing:

- full legal name;
- identity/passport details;
- KRA PIN where applicable;
- nationality;
- service address;
- residential address in the protected register;
- date of birth and other prescribed particulars;
- appointment and cessation dates;
- consent to act;
- executive/non-executive status where relevant; and
- other governance or regulatory classifications where applicable.

5. Company Secretary

Every public company must have at least one company secretary. The directors must take reasonable steps to ensure that the secretary has the requisite knowledge and experience and holds the required practising

certificate under the applicable professional framework.

LexReg should therefore make the secretary field mandatory for a PLC and maintain:

- secretary's name / firm details;
- professional/practising certificate information;
- contact and address details;
- date of appointment;
- CR10 appointment record;
- changes in particulars; and
- cessation date and supporting filing.

6. Share Capital

A PLC has a more demanding capital regime than an ordinary private company. The Companies Act provides an authorised minimum nominal value of allotted share capital for a public company and requires a trading certificate before the company conducts business or exercises borrowing powers.

The statutory authorised minimum is KES 6,750,000. The Act also imposes rules on the extent to which shares must be paid up, including the general rule that a public company may not allot a share unless at least one-quarter of its nominal value and the whole of any premium is paid, subject to statutory exceptions.

LexReg should maintain a structured Share Capital Register rather than treating the Statement of Nominal Capital as a static incorporation document.

7. Trading Certificate

A public company must not conduct business or exercise borrowing powers unless the Registrar has issued the trading certificate contemplated by the Companies Act.

LexReg should therefore distinguish:

Certificate of Incorporation
↓
Capital Requirements Satisfied
↓
Trading Certificate
↓
Company May Conduct Business / Exercise Borrowing Powers

This is a critical compliance gate and should appear prominently on the PLC dashboard.

8. Memorandum and Articles

The memorandum records the subscribers' intention to form the company and become members. The Articles govern the company's internal constitutional arrangements.

For LexReg, the Articles should be converted into structured governance rules where practical, including:

- share classes and rights;

- share-transfer procedures;
- general-meeting rules;
- director appointment/removal;
- board quorum and voting;
- reserved matters;
- dividend rules;
- borrowing powers;
- conflicts of interest; and
- other company-specific governance provisions.

9. Incorporation Documents

Current BRS fee guidance identifies the following documents for registration of a Public Limited Company:

- CR1 - application to register a company;
- CR2 - memorandum for a company with share capital;
- CR8 - director residential-address particulars;
- CR10 - appointment of company secretary;
- CR12 as identified in the current BRS public-company registration schedule; and
- Statement of Nominal Capital.

The online BRS process and generated forms should be checked at the time of filing because administrative workflows can change.

10. Suggested Incorporation Workflow

Create / Identify Subscriber Profiles
↓
Proposed PLC Name
↓
Registered Office + Business Activity
↓
Share Capital + Share Classes
↓
Initial Shareholders / Allotments
↓
Directors (Minimum Two)
↓
Company Secretary
↓
Beneficial Ownership
↓
Articles / Governance Rules

Create / Identify Subscriber Profiles
↓
Generate / Review BRS Forms
↓
Submit + Pay
↓
Certificate of Incorporation
↓
Trading Certificate Requirements
↓
Create LexReg PLC Workspace

11. Core Documents for LexReg

- identity and KRA PIN documents for individual subscribers/directors;
- corporate verification documents for corporate shareholders;
- CR1, CR2 and other generated incorporation forms;
- CR8 director address particulars;
- CR10 secretary appointment;
- Statement of Nominal Capital;
- Articles of Association where bespoke articles are used;
- Beneficial Ownership information/forms;
- Certificate of Incorporation; and
- Trading Certificate once issued.

Additional documentation should be triggered by corporate ownership, foreign participation, regulated business activity, public offers or listing.

12. Corporate Shareholders

Where a shareholder is a company or other legal entity, LexReg should link the relevant Corporate Entity Profile and then determine whether look-through is required for beneficial ownership.

For a Kenyan corporate shareholder, a practical initial verification set can begin with the Certificate of Incorporation, KRA PIN and current official search/CR12, with additional constitutional and authority documentation requested where required.

13. OCR and Reuse of Profiles

Upload / Retrieve Identity + Corporate Documents
↓
OCR / Structured Extraction
↓
Review & Verify

Upload / Retrieve Identity + Corporate Documents
↓
Assign Company Roles
↓
PLC-Specific Data
↓
Incorporation + Permanent Entity Record

The incorporation questionnaire should reuse verified Person and Corporate Entity Profiles so that shareholders, directors and beneficial owners do not repeatedly type the same information.

14. Beneficial Ownership

A PLC must maintain and file beneficial ownership information in accordance with the Companies Act and the Companies (Beneficial Ownership Information) Regulations.

LexReg should maintain a Beneficial Ownership Register separate from the Register of Members because the registered shareholder and the natural person who ultimately owns or controls the company may differ.

- identity and contact particulars;
- nature of ownership or control;
- direct or indirect interest;
- voting or appointment rights;
- significant influence or control;
- date the person became a beneficial owner;
- changes in particulars; and
- date of cessation.

15. Statutory Registers

The PLC workspace should maintain or support the company's statutory records, including as applicable:

- Register of Members;
- Register of Directors;
- Register of Directors' Residential Addresses;
- Register of Secretaries;
- Register of Beneficial Owners;
- Register of Charges;
- share allotment and transfer records;
- minutes and resolutions; and
- other statutory records required by the Companies Act.

16. Board Governance

The Board should be supported as a formal governance organ.

- board composition;
- appointments and cessations;
- meeting calendar;
- notice and agenda;
- quorum;
- board papers;
- conflict declarations;
- resolutions;
- minutes;
- delegated authorities; and
- committee structure where applicable.

Where the PLC is listed or otherwise subject to additional governance rules, LexReg should activate the relevant capital-markets and governance requirements separately.

17. General Meetings

LexReg should support annual and other general-meeting processes according to the Companies Act and the company's Articles.

- meeting type;
- notice period and circulation;
- agenda;
- shareholder voting rights;
- proxies;
- ordinary and special resolutions;
- polls where applicable;
- minutes; and
- Registrar filings triggered by resolutions.

18. Annual Returns

A company must lodge annual returns with the Registrar in accordance with the Companies Act. The Act requires the return to contain prescribed information including the registered office, company type, principal business activities, directors, secretary in the case of a public company, and share-capital/shareholder information where applicable.

BRS identifies CR29 as the annual-return form.

LexReg should generate the annual-return event automatically and use the live registers to pre-populate the return.

19. Financial Statements and Audit

A PLC should have a dedicated financial-reporting compliance module. Applicable financial statements, audit, circulation, filing and disclosure obligations should be generated according to the Companies Act, accounting

standards and any additional regulatory regime applying to the company.

LexReg should track:

- financial year end;
- accounting reference date;
- auditor;
- financial statements;
- directors' reports and other required reports;
- approval dates;
- member circulation;
- filing dates; and
- regulatory/public disclosures where applicable.

20. Share Allotments and Transfers

Share movements should be event-driven.

Proposed Allotment / Transfer
↓
Authority + Pre-conditions
↓
Approval
↓
Consideration / Payment
↓
CR20 or Other Filing if Triggered
↓
Update Register of Members
↓
BO Review
↓
Issue / Update Share Records

Public-company capital rules and any securities-market requirements should be checked before the transaction is completed.

21. Public Company Does Not Necessarily Mean Listed Company

A critical LexReg distinction is that a PLC may exist without being listed on a securities exchange.

PUBLIC LIMITED COMPANY
↓
Companies Act Compliance
↓

PUBLIC LIMITED COMPANY
PUBLIC OFFER?
↓
If Yes → CMA Public-Offer Requirements
↓
LISTED?
↓
If Yes → Listing + Continuing Disclosure Requirements

The system should not impose listed-company obligations merely because the entity is incorporated as a PLC.

22. Public Offers of Securities

Under the Capital Markets Act, an issuer or offeror generally may not make a public offer of securities unless a prospectus for the offer has been submitted to and approved by the Capital Markets Authority, subject to applicable exemptions and special regimes.

The Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023 provide the current detailed framework.

If the PLC proposes a public offer, LexReg should activate a Capital Markets transaction workflow covering the relevant offer documentation, advisers, approvals, disclosures, timetable and post-offer obligations.

23. Listing on a Securities Exchange

Listing is a further step beyond incorporation as a PLC and beyond the mere legal ability to invite the public to subscribe.

Where listing is proposed or achieved, LexReg should activate additional workflows for:

- CMA approvals;
- securities-exchange requirements;
- prospectus / offering documentation;
- continuous disclosure;
- material-information announcements;
- financial reporting;
- corporate governance;
- shareholder communications;
- insider / dealing controls where applicable; and
- other capital-markets obligations.

24. Changes in Directors and Secretary

Appointments, changes in particulars and cessations should automatically create the appropriate BRS filing tasks.

- CR6 - appointment of directors;

- CR7 - change of directors' particulars;
- CR8 - director residential address/change;
- CR9 - cessation of director;
- CR10 - appointment of secretary;
- CR11/CR12 - secretary particulars/address changes; and
- CR13 - cessation of secretary.

25. Registered Office and Company Particulars

LexReg should track the registered office and any changes, including the relevant CR16 filing. Historical addresses should be preserved rather than overwritten.

26. Charges and Borrowing

Where the PLC creates security over its assets, LexReg should activate the Charges Register and filing workflow.

- lender/chargee;
- secured obligation;
- security instrument;
- assets charged;
- creation date;
- CR25/CR26/CR27 filing as applicable;
- registration certificate/reference;
- variations; and
- CR28 satisfaction/discharge.

27. Tax and Operational Compliance

The PLC's legal form does not by itself determine every tax or operational obligation. LexReg should generate additional requirements from the company's actual activities.

- corporate tax;
- VAT and other tax registrations where applicable;
- payroll and employment;
- data protection;
- county permits;
- sector licences;
- health and safety;
- consumer protection;
- insurance;
- property/leases;
- environmental requirements where applicable; and

- industry-specific regulation.

28. Employees

Where the PLC employs staff, the Employment Compliance Module should cover contracts, employee records, payroll/statutory deductions, leave, workplace policies, health and safety, disciplinary/grievance processes and termination records.

29. Legal and Compliance Audit

Because a PLC may have a broader shareholder base and more formal governance obligations, LexReg's legal audit should test both statutory compliance and internal governance.

- minimum director requirement;
- qualified company secretary;
- share-capital/trading-certificate status;
- annual returns;
- beneficial ownership;
- statutory registers;
- board and shareholder approvals;
- financial statements and audit;
- charges;
- share allotments/transfers;
- licences and tax;
- employment/data protection;
- public-offer compliance if applicable; and
- listing/continuous disclosure if applicable.

30. Conversion

The Companies Act and BRS provide processes for conversion between company types, including private-to-public and public-to-private conversion.

LexReg should treat conversion as a structured legal event requiring review of the Articles, name, capital, governance, filings and the compliance regime that applies after conversion.

31. Winding Up / Strike Off

Closure should be managed as a lifecycle process rather than simply marking the PLC inactive.

- shareholder/director approvals;
- solvency/insolvency route;
- assets and liabilities;
- employees;
- creditors;
- tax;

- contracts;
- licences;
- charges;
- capital-markets notifications where applicable;
- Registrar/Court/Official Receiver processes as applicable; and
- final record retention.

32. How LexReg Can Help

Incorporation

- OCR-led subscriber/director onboarding;
- corporate shareholder linking;
- share-capital setup;
- secretary onboarding;
- BO identification;
- BRS form workflow;
- certificate and trading-certificate tracking.

Governance

- Member Register;
- Director Register;
- Secretary Register;
- Beneficial Ownership Register;
- share-capital ledger;
- board and general meetings;
- resolutions;
- Articles rule extraction;
- authority matrix.

Compliance

- annual returns;
- financial reporting and audit;
- change-event filings;
- BO updates;
- charges;
- tax;
- employees;
- licences;
- data protection;
- legal audit.

Capital Markets - Conditional Module

- public-offer readiness;
- CMA approvals;
- prospectus workflow;
- listing workflow;
- continuous disclosure;
- material-event tracking;
- regulated adviser/document register.

33. Suggested LexReg Data Architecture

Individual / Corporate Profiles
↓
PLC Entity Profile
↓
Shareholders + Share Capital
↓
Directors + Secretary
↓
Beneficial Ownership
↓
Board + General Meetings
↓
Assets + Contracts + Employees
↓
Compliance Calendar
↓
Optional CMA / Listing Module
↓
Legal & Governance Audit

34. The Key Principle

A Public Limited Company is first a company under the Companies Act; public-offer and listed-company regulation are additional layers that apply only when the relevant activity or status is triggered.

PLC incorporation creates the legal entity
↓
Shareholders own shares
↓
Directors govern

PLC incorporation creates the legal entity
↓
Secretary supports statutory compliance
↓
Trading certificate unlocks business/borrowing powers
↓
Public offer activates CMA regulation
↓
Listing activates continuing market obligations

For LexReg, the architecture should therefore be modular: comprehensive PLC governance from incorporation, with capital-markets compliance activated only when the company crosses the relevant regulatory threshold.

Important Note

This guide provides general information about Public Limited Companies in Kenya. It does not constitute legal, tax, investment, securities or financial advice. Incorporation, capital, public-offer and listing requirements can change, and current BRS, Companies Act and CMA requirements should be verified before action is taken.

Key Legal and Regulatory References

- Companies Act, 2015 – Kenya Law: <https://new.kenyalaw.org/akn/ke/act/2015/17/>
- Business Registration Service – Entities Registered: <https://brs.go.ke/entities-registered/>
- Business Registration Service – Companies Registry: <https://brs.go.ke/companies-registry/>
- Business Registration Service – Fee Schedule: <https://brs.go.ke/fee-schedule-companies-registry/>
- Business Registration Service – Company Forms: <https://brs.go.ke/forms/>
- Capital Markets Act – Kenya Law: <https://new.kenyalaw.org/akn/ke/act/1989/17/>
- Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023 – CMA: https://www.cma.or.ke/wpfd_file/the-capital-markets-public-offers-listings-and-disclosures-regulations-2023/